

GLOSSARY

ALTERNATIVE PERFORMANCE MEASURES

– continued

Return on Invested Capital (RoIC): TORM defines RoIC as earnings before interest and tax (EBIT) less tax, divided by the average invested capital for the period. Invested capital is defined below.

RoIC expresses the returns generated on capital invested in the Group. The progression of RoIC is used by TORM to measure progress against our longer-term value creation goals outlined to investors. RoIC is calculated as follows:

USDm	2019	2018	2017
Operating profit/(loss) (EBIT)	205.9	2.8	39.5
Tax	-0.8	-1.6	-0.8
EBIT less Tax	205.1	1.2	38.7
Invested capital, opening balance	1,469.4	1,406.0	1,387.7
Invested capital, ending balance	1,786.0	1,469.4	1,406.0
Average invested capital for the year	1,627.7	1,437.7	1,396.9
Return on Invested Capital (RoIC)	12.6%	0.1%	2.8%

Liquidity: TORM defines liquidity as available cash, comprising cash and cash equivalents, including restricted cash, as well as undrawn credit facilities.

TORM finds the APM important as the liquidity expresses TORM's financial position, ability to meet current liabilities and cash buffer. Furthermore, it expresses TORM's ability to act and invest when possibilities occur.

USDm	2019	2018	2017
Cash and cash equivalents, including restricted cash	72.5	127.4	134.2
Undrawn credit facilities	173.1	278.7	270.7
Liquidity	245.6	406.1	404.9

Adjusted Return on Invested Capital (Adjusted RoIC): TORM defines Adjusted RoIC as earnings before interest and tax (EBIT) less tax and impairment losses and reversals, divided by the average invested capital less average impairment for the period. Invested capital is defined below.

The Adjusted RoIC expresses the returns generated on capital invested in the Group adjusted for impacts related to the impairment of the fleet. The progression of RoIC is used by TORM to measure progress against our longer-term value creation goals outlined to investors. Adjusted RoIC is calculated as follows:

USDm	2019	2018	2017
EBIT less Tax	205.1	1.2	38.8
Impairment reversal	-120.0	-	-
EBIT less tax and impairment	85.1	1.2	38.8
Average invested capital ¹⁾	1,627.7	1,437.7	1,396.9
Average impairment ²⁾	98.2	185.0	185.0
Average invested capital less average impairment	1,725.9	1,622.7	1,581.9
Adjusted RoIC	4.9%	0.1%	2.4%

¹⁾ Average invested capital is calculated as the average of the opening and closing balance of invested capital.

²⁾ Average impairment is calculated as the average of the opening and closing balances of impairment charges on vessels and goodwill in the balance sheet.